信驊科技2023年第四季法人說明會

ASPEED Technology Investor Conference

2024年3月26日

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ASPEED's statements of its current expectations are forward-looking statements subject to significant risks and uncertainties and actual results may differ materially from those contained in the forward-looking statements. Except as required by law, we undertake no obligation to update any forward-looking statement, whether as a result of new information, future events, or otherwise.

Please note that while we have made every effort to list all significant risks, there may still be other risk factors that have not been identified or currently appear to be insignificant.

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Agenda

- 4Q23 & Year 2023 Financial Results
- 2024 Business Outlook
- Product & Technology Development
- Q&A

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4Q23 & Year 2023 Financial Results

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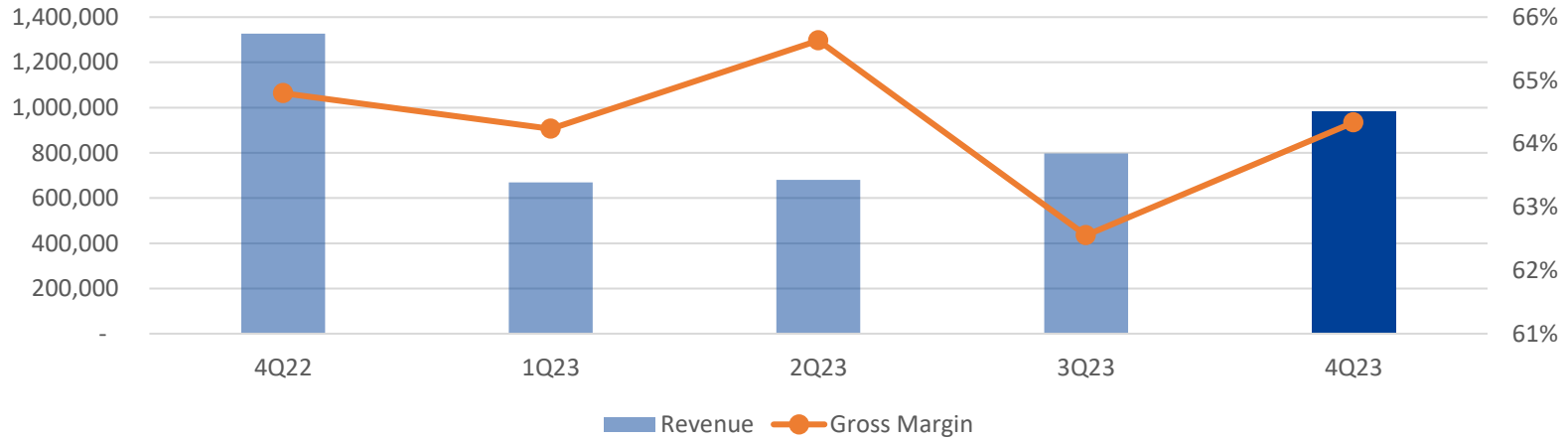
Income Statement

In NT$ thousands	FY23	4Q23	3Q23	4Q22	QoQ 4Q23 over 3Q23	YoY 4Q23 over 4Q22
Operating Revenue	3,130,395	984,247	796,713	1,326,707	23.54%	-25.81%
Gross Profit	2,007,918	633,213	498,395	859,687	27.05%	-26.34%
Gross Margin (%)	64.14%	64.33%	62.56%	64.80%	+1.77ppts	-0.47ppts
Operating Expenses	928,310	241,198	235,186	243,090	2.56%	-0.78%
Operating Profit	1,079,608	392,015	263,209	616,597	48.94%	-36.42%
Operating Margin (%)	34.49%	39.83%	33.04%	46.48%	+6.79ppts	-6.65ppts
Non-Operating Income and Expenses	115,349	(49,367)	76,338	(48,281)	-164.67%	2.25%
Pre-Tax Profit	1,194,957	342,648	339,547	568,316	0.91%	-39.71%
Net Income	1,006,810	309,694	270,455	475,794	14.51%	-34.91%
Net Profit Margin (%)	32.16%	31.47%	33.95%	35.86%	-2.48ppts	-4.39ppts
EPS (Basic)	26.66	8.20	7.16	12.59	14.53%	-34.87%

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Consolidated Revenue

Unit : NTD 1,000

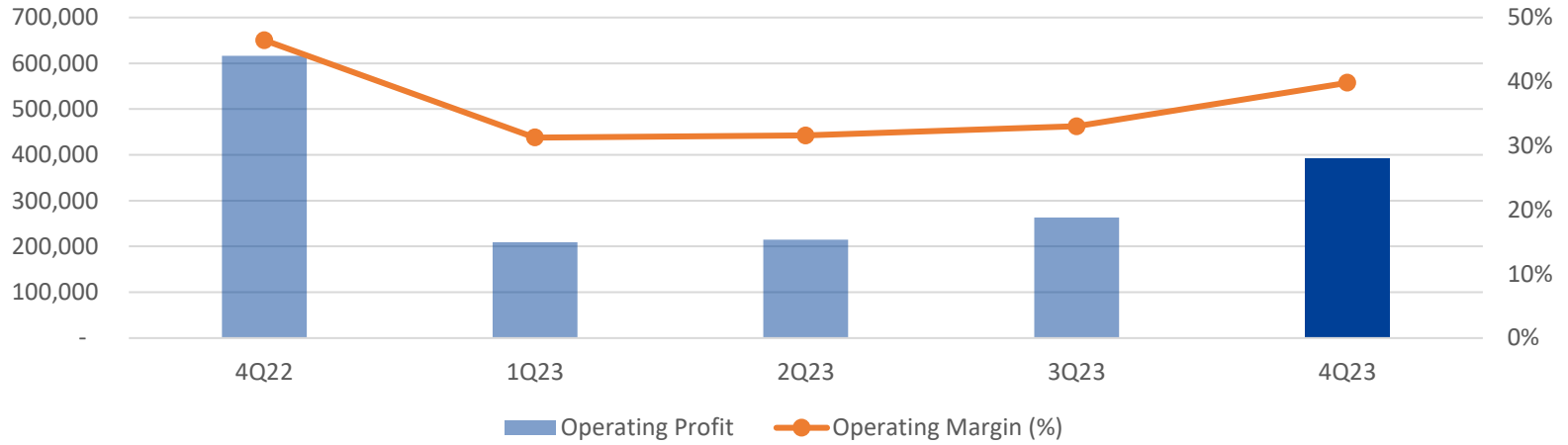


	4Q22	1Q23	2Q23	3Q23	4Q23	YoY	QoQ
Revenue	1,326,707	669,396	680,039	796,713	984,247	-25.81%	23.54%
Gross Margin	64.80%	64.24%	65.63%	62.56%	64.33%	-0.46ppts	+1.78ppts

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Operating Profit

Unit : NTD 1,000

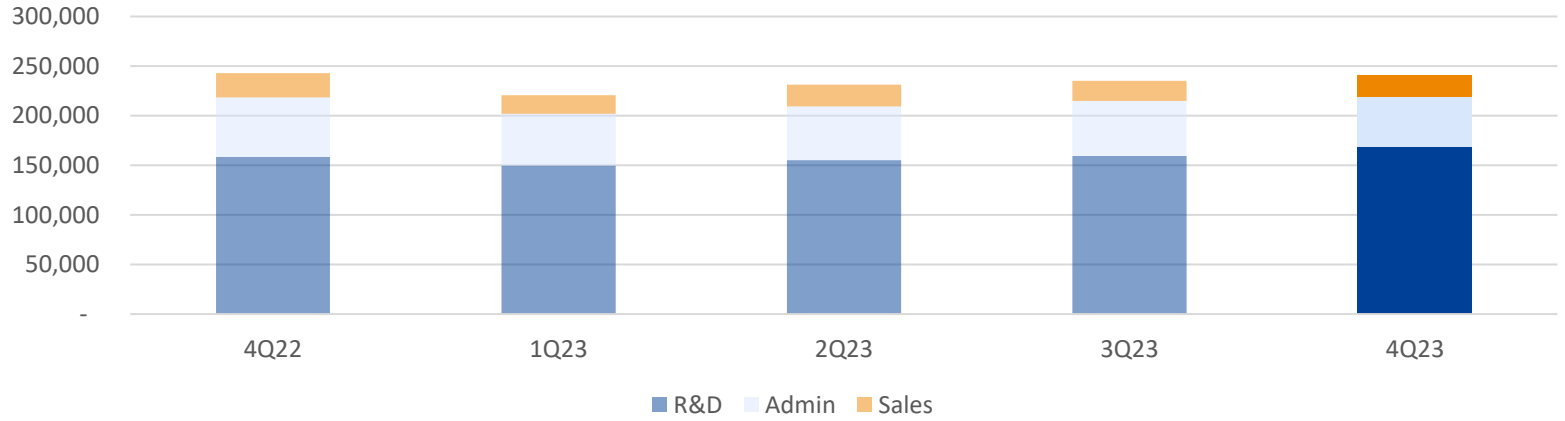


	4Q22	1Q23	2Q23	3Q23	4Q23	YoY	QoQ
Operating Profit	616,597	209,445	214,939	263,209	392,015	-36.42%	48.94%
Operating Margin (%)	46.48%	31.29%	31.61%	33.04%	39.83%	-6.65ppts	+6.79ppts

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Operating Expenses

Unit : NTD 1,000

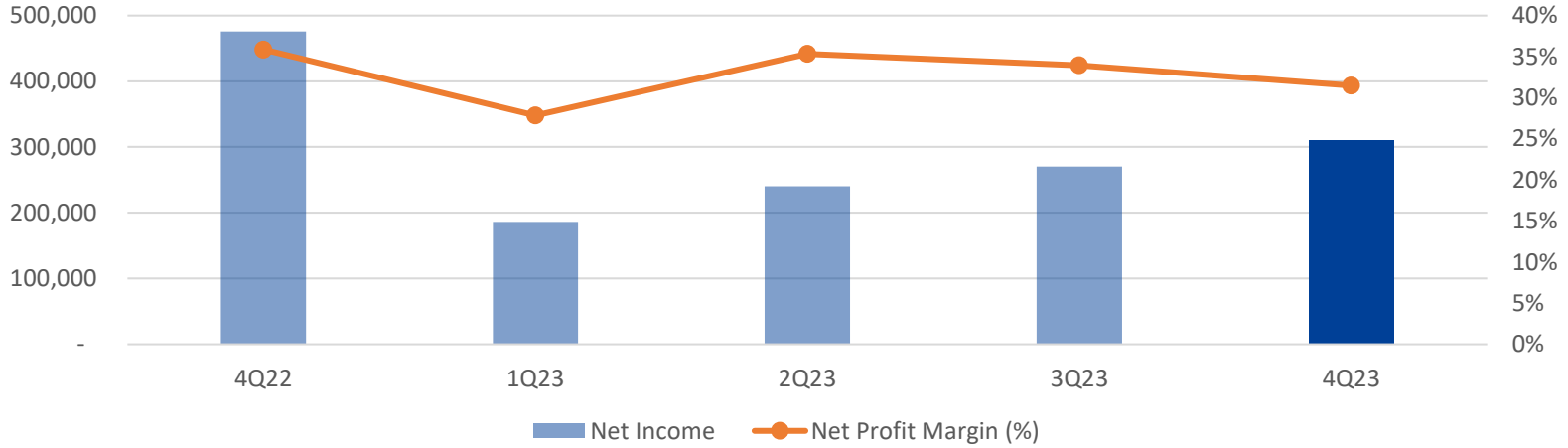


	4Q22	1Q23	2Q23	3Q23	4Q23	YoY	QoQ
R&D	158,516	149,743	155,374	159,511	168,378	6.22%	5.56%
Admin	59,884	52,289	54,089	55,330	50,962	-14.90%	-7.89%
Sales	24,690	18,517	21,914	20,345	21,858	-11.47%	7.44%
Operating Expenses	243,090	220,549	231,377	235,186	241,198	-0.78%	2.56%

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Net Income

Unit : NTD 1,000

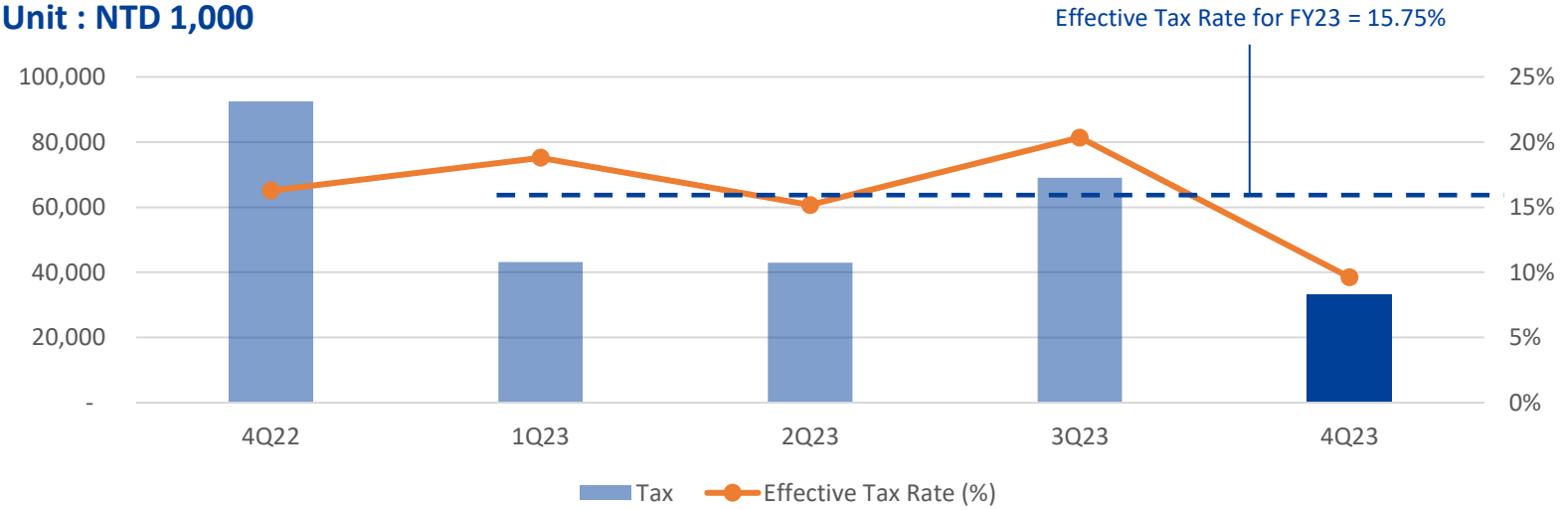


	4Q22	1Q23	2Q23	3Q23	4Q23	YoY	QoQ
Net Income	475,794	186,309	240,352	270,455	309,694	-34.91%	14.51%
Net Profit Margin (%)	35.86%	27.83%	35.34%	33.95%	31.47%	-4.40ppts	-2.48ppts

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Effective Tax Rate

Unit : NTD 1,000

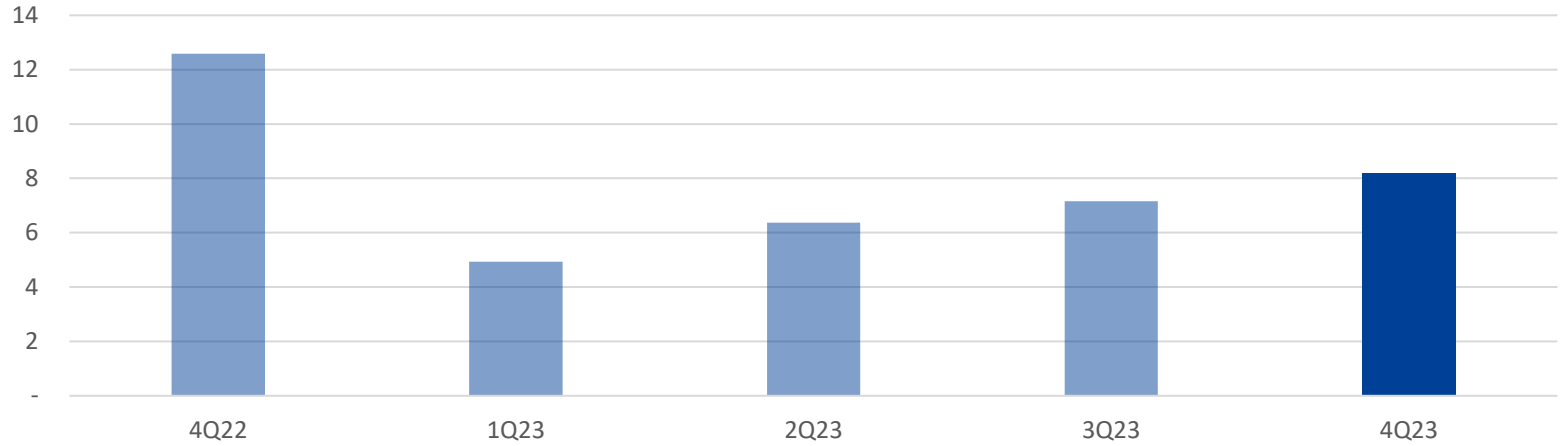


	4Q22	1Q23	2Q23	3Q23	4Q23	FY23	YoY	QoQ
Tax	92,522	43,140	42,961	69,092	32,954	188,147	-64.38%	-52.30%
Effective Tax Rate (%)	16.28%	18.80%	15.16%	20.35%	9.62%	15.75%	-6.66ppts	-10.73ppts

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Earnings Per Share

Unit : NTD



	4Q22	1Q23	2Q23	3Q23	4Q23	YoY	QoQ
EPS	12.59	4.93	6.37	7.16	8.20	-34.87%	14.53%

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Dividend Policy

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Cash Dividend (F)	5.5	7	8	12	15	18	22	26	35	45	20*
Stock Dividend (F)	0	2	0	0	0	0	0	0	0	0	0*
Dividend from Capital Reserves	1	0	0	0	0	0	0	0	1	0	0*
Total Dividend	6.5	9	8	12	15	18	22	26	36	45	20*
EPS	7.4	10.72	10.79	14.07	15.7	20.2	24.39	29.38	38.3	55.72	26.66

Note: The appropriations of earnings for 2023 are to be presented for approval in ASPEED's shareholders' meeting to be held on May 30, 2024 (expected).

Earning distributions:

- Employee bonus can not be less than 8%.
- Board directors bonus no higher than 3%.
- With respect to the earnings available for distribution plus the previously cumulative undistributed retained earnings, the Board of Directors may present a proposal to distribute to the Shareholders by way of dividends at the annual general meeting for approval. Having considered the operational, financial and tax factors, including the Company being in the growing stage during the business life cycle and the future expansion projects, any remaining profits may be distributed in the form of cash dividends and/or shares, and the cash dividends shall be no less than 10% of such remaining profits to be distributed.

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2024 Business Outlook

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Business Outlook

For 2024 Q1, we currently expect:

- Consolidated Revenue: Around **NT$967 million ~ 1,026 million**
- Gross margin: **62.8% ~ 64.3%**

For 2024 Q2, we currently expect:

- Consolidated Revenue: Around **NT$1,058 million ~ 1,134 million**
- Gross margin: **64.0% ~ 65.5%**

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Business Outlook

Cloud & Enterprise Solutions

- Flat global server shipments in 2024.
- Capex cannibalization by AI servers will reduce, and BMC density in AI servers increases.
- Maximize the ***dollar value per server***.
- Server board ***modularization***.

Smart AV

- AVoIP is expected to maintain its ***double-digit growth rate*** in 2024.
- Cupola360 is quickly deployed to smart factories and other use cases.

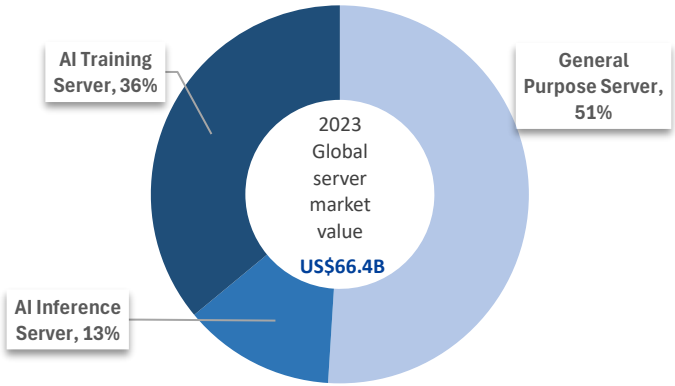
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Comparison of AI Servers

- Demand for AI inference will quickly ramp up.
- BMC density in AI server rack will increase significantly.

Feature	Regular Server	AI Inference Server	AI Training Server
Main Processor	CPU	Low-end GPU, ASIC	High-end GPU
Server Case	1U, 2U	1U, 2U	4U, 5U, 7U, or 8U
Number of GPUs	-	1-8 GPUs	Up to 20 GPUs
Main Application	*	AI inference	AI training and inference
Power	200 - 1,000W	2,000 - 4,000W	DGX H100 10.2KW
Key Components	-	L4 & A2 GPU	GB200, MI300
Price Range	USD 1,500 - 3,000	USD 3,000 - 20,000	USD 150,000 or more
BMC per Server	1 BMC	3+ BMC	3+ BMC

Note: Not all AI servers are the same; there are differences in functions and specifications according to the server's level.

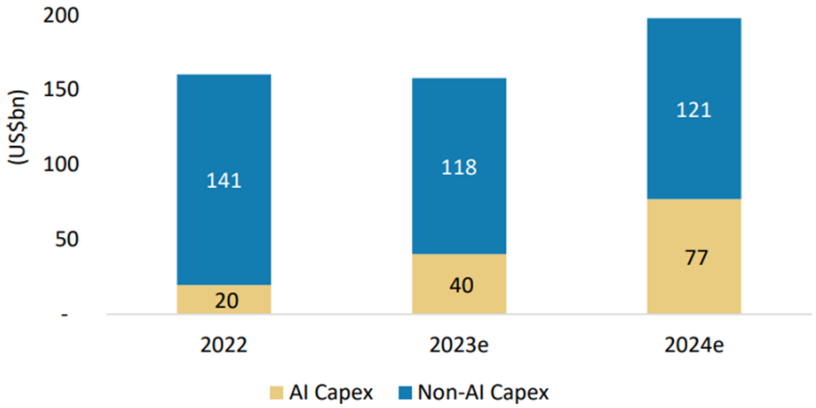


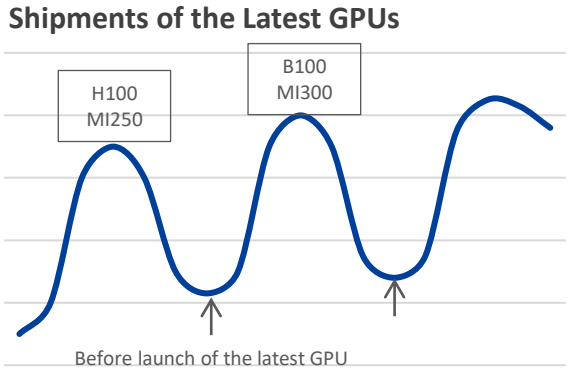
Source: MIC and various sources

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The Shipment Estimate of AI Servers

- Hyperscalers' capex will grow by **20%+** YoY driven by AI servers.
- Hyperscalers will wait for the newest GPU and cause cyclical GPU shipments.



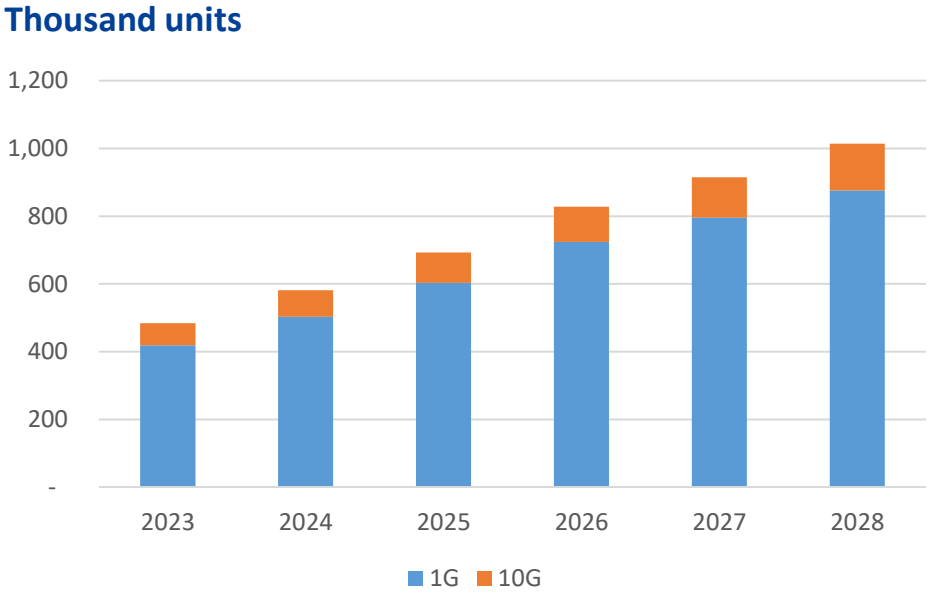


Source: Bloomberg, Morgan Stanley

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AVoIP Market Outlook

- AVoIP shipments will grow at a CAGR 15.9%.
- Being the market leader of 1G AVoIP, ASPEED will continue to extend into new markets for AVoIP.



Source: Futuresource

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Growth Strategy of Cupola360

- Targeting enterprise customers with turnkey solutions and leading technology.
- Creating high-value use cases, such as smart factories and smart cities.
- Collaborating with system integrators to significantly expand global reach.



Smart Patrolling

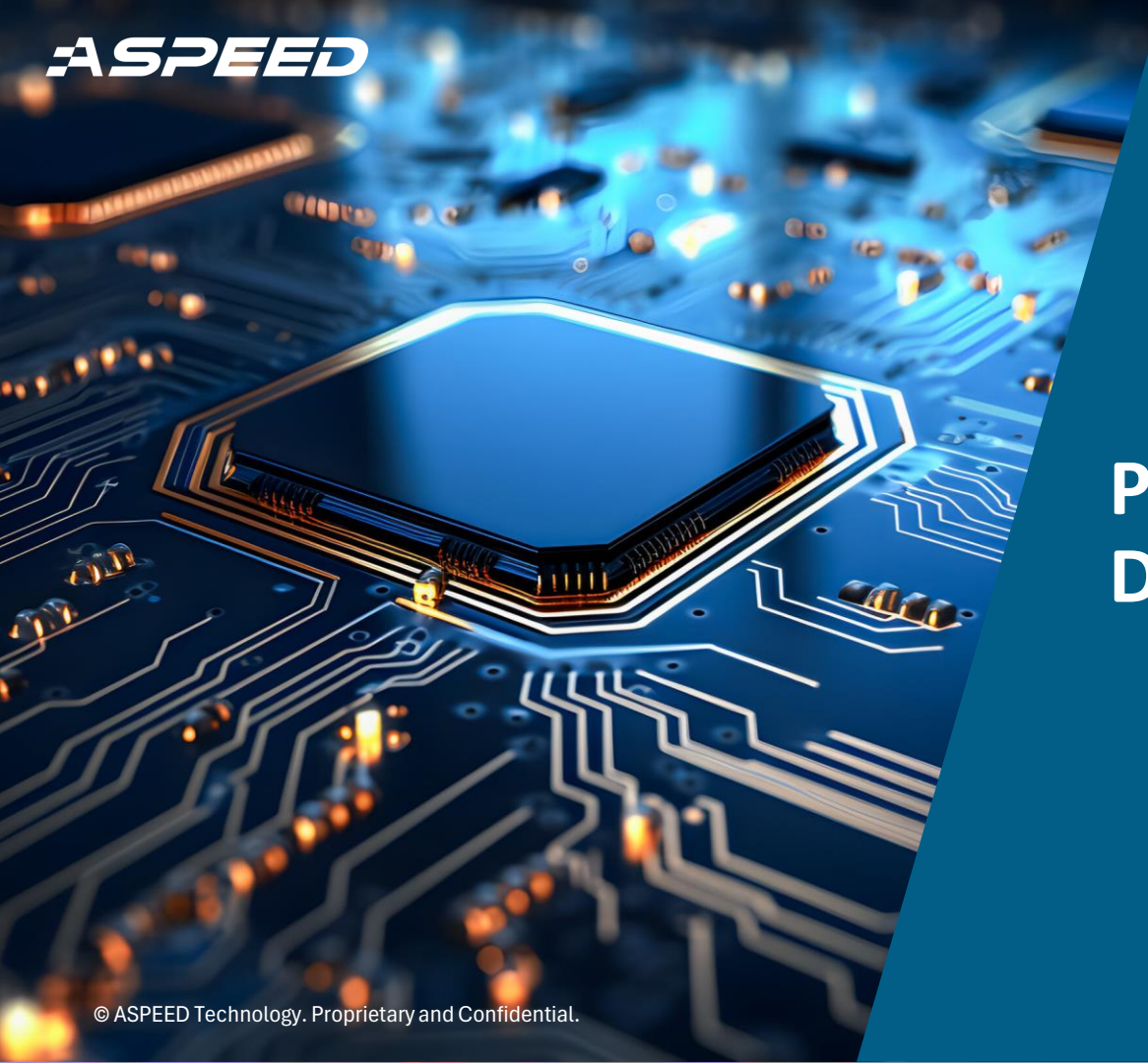


Smart Factory Immersive Management



Worker Safety with AI Detection

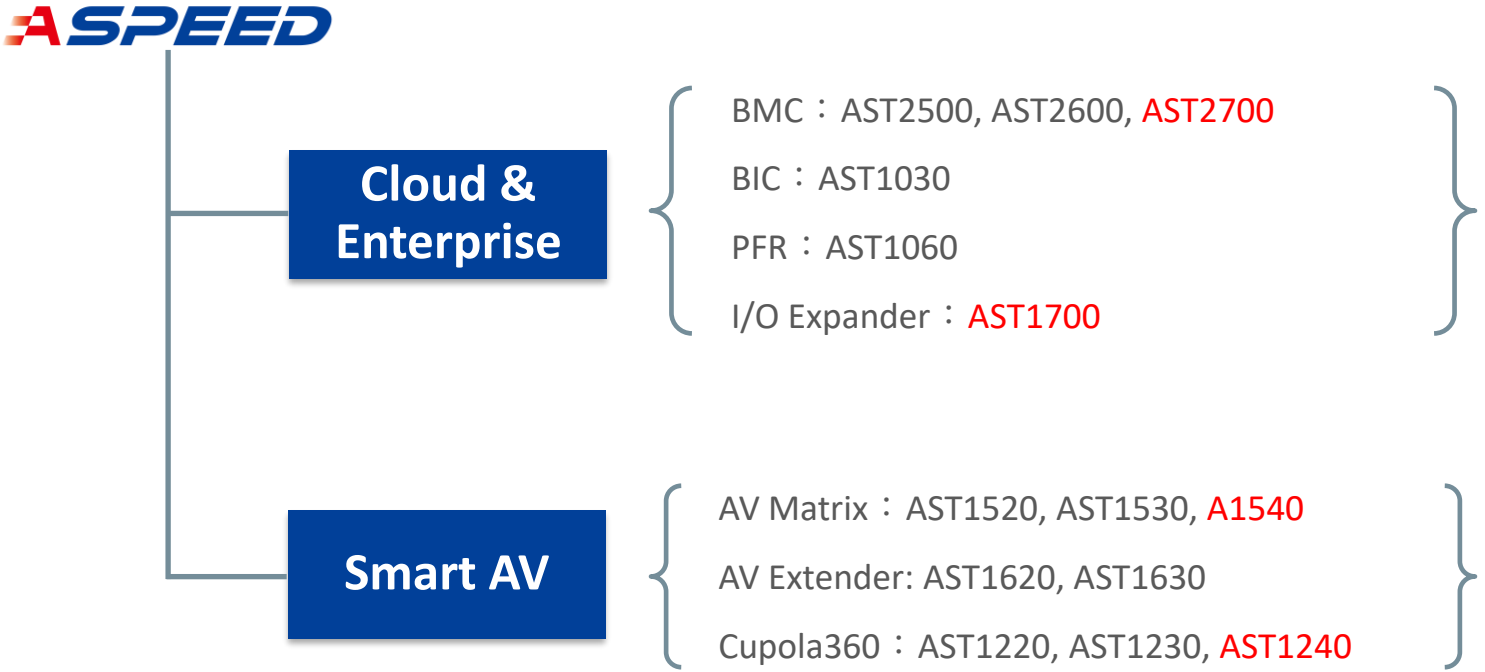
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Product & Technology Development

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Product Portfolio



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Product Roadmap





	2023	2024	2025	2026
BMC	AST2600 Ramp-up	AST2700 Design-in Phase	AST2700 Production-ready	AST2700 Ramp-up
BIC	AST1300 Ramp-up			
PFR	AST1060 Production-ready		AST1060 Ramp-up	
I/O Expander		AST1700 Design-in Phase	AST1700 Production-ready	AST1700 Ramp-up
AVoIP	AST1530 & AST1535 Dual Chips Ramp-up; AST1630 Ramp-up	AST1532 Ramp-up		AST1540 Production-ready
Cupola360	AST1235 Ramp-up			AST1240 Production-ready

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Q&A

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